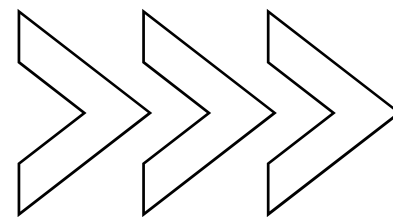


TastyBites Product Pricing & Profitability Analysis



Problem Identification

Revenue growth masking margin erosion

Data Analysis

972 orders across product, customer, and payment dimensions

Strategic Prescription

Pricing corrections, discount guardrails, and portfolio action



Business Objectives & ::::

KPIs

- **Product Portfolio Diagnosis**

Identify high-profit and low-profit products across the full SKU portfolio to separate margin champions from margin destroyers.

- **Discount Impact Quantification**

Analyse the impact of discount depth on profitability at both product and category level

- **Revenue vs. Profit Decomposition**

Compare gross revenue against actual profit contribution to expose the gap between top-line and bottom-line performance.

- **Pricing Optimisation Strategy**

Recommend data-driven pricing interventions to improve profit margins while sustaining or growing sales volume.

Key Performance Indicators

4,33,069

Revenue (₹)

2,22,755

Profit (₹)

51.44%

Profit Margine

1931

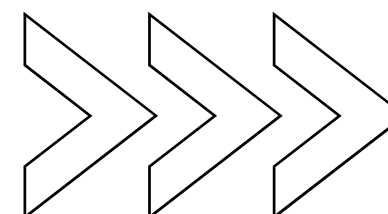
Units Sold

972

Total Orders

445

AOV (₹)

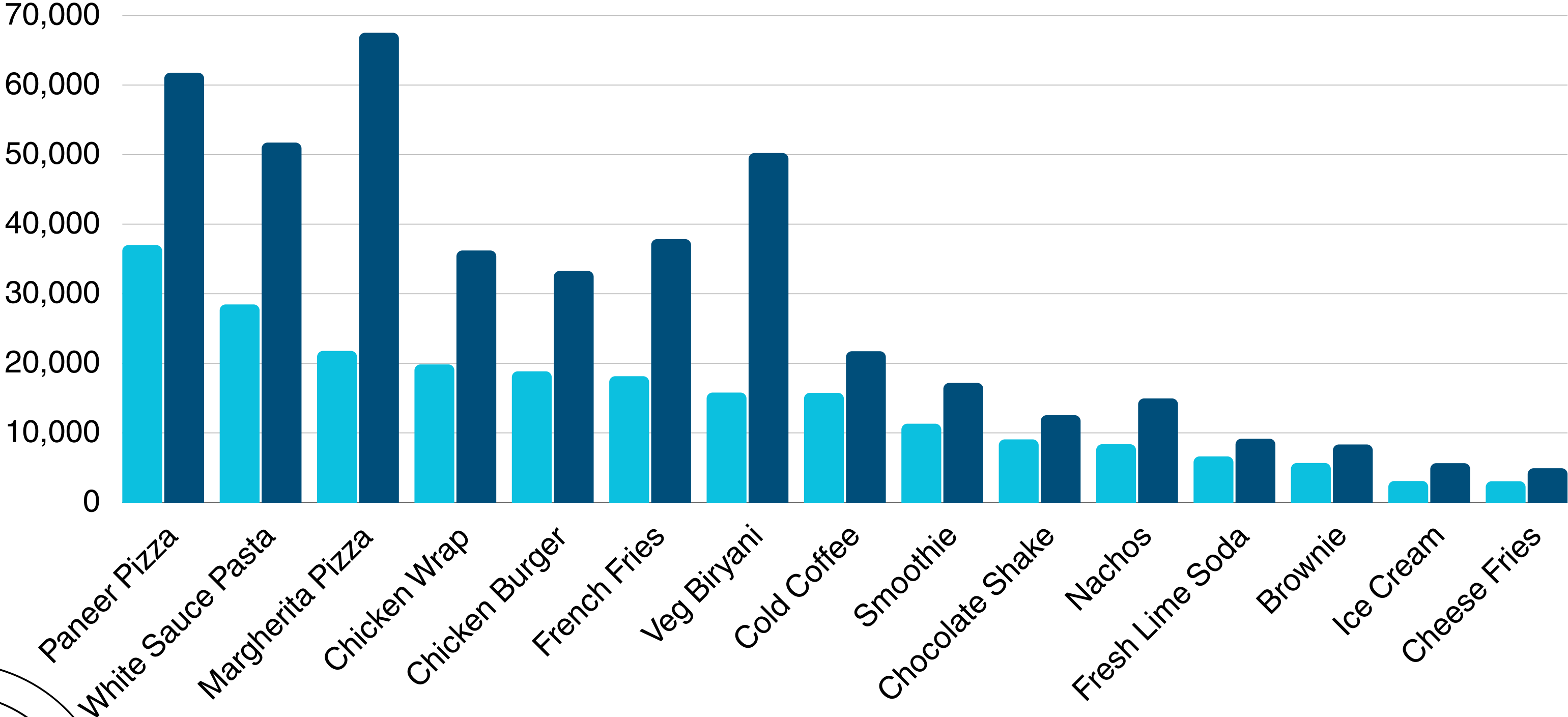


Revenue & Profit Analysis

Revenue Rank $\neq$ Profit Rank

High sales do not always translate into high profitability, highlighting the need to evaluate products beyond revenue alone

Profit (₹) Revenue(₹)



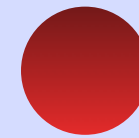
Revenue & Profit Analysis

Optimize pricing for **Margherita Pizza** and **Veg Biryani**, protect premium pricing for Paneer Pizza, and replicate White Sauce Pasta's pricing strategy across similar meal products.



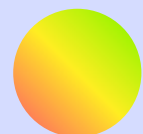
Paneer Pizza — Profit Champion

Highest revenue with 59.9% profit margin, making it the strongest contributor to overall profitability.



Margherita Pizza — Margin Pressure Product

Generates the highest revenue in the portfolio but delivers only a 32.3% profit margin, indicating aggressive discounting.



Cold Coffee — Hidden Profit Gem

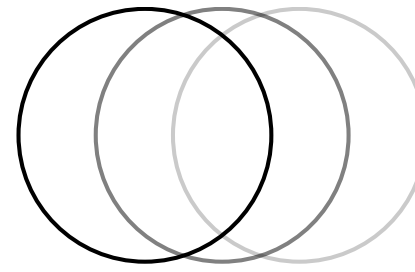
Although revenue is moderate, Cold Coffee delivers the highest profit margin (72.5%) among major products.



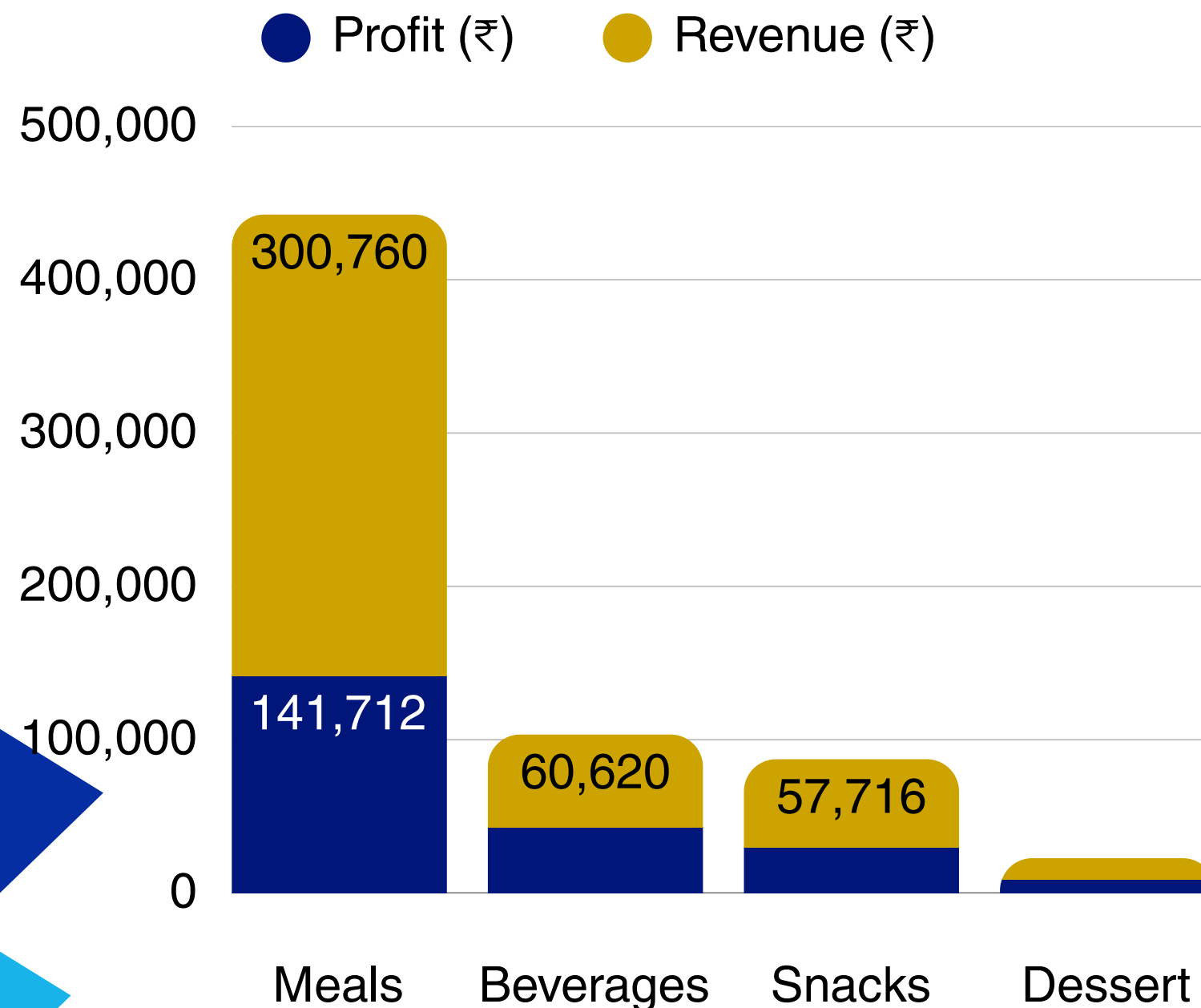
Veg Biryani — High Volume, Low Value

A strong revenue contributor with healthy customer demand, yet its 31.4% margin is among the lowest. This suggests high ingredient costs or underpricing.

Category Performance Analysis



Category Findings



Meals

Highest revenue AND profit — the core profit engine. ₹3,00,760 revenue, ₹1,41,712 profit (47% margin). Must anchor all promotional strategy

Snacks

Generated moderate revenue and profit with healthy margins, growth is constrained by discount dependency and competitive pricing,

Beverages

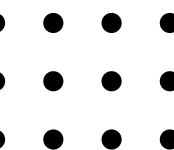
One of the most profitable categories relative to sales. Its consistent margins make it ideal for combo offers and cross-selling with meal products.

Dessert

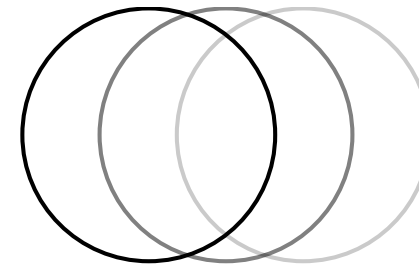
Highest margin (62%) but lowest revenue volume — significantly undermarketed relative to profitability potential



Bundle Opportunity: Pairing Desserts and Beverages with Meal orders can lift average order value without sacrificing margin.

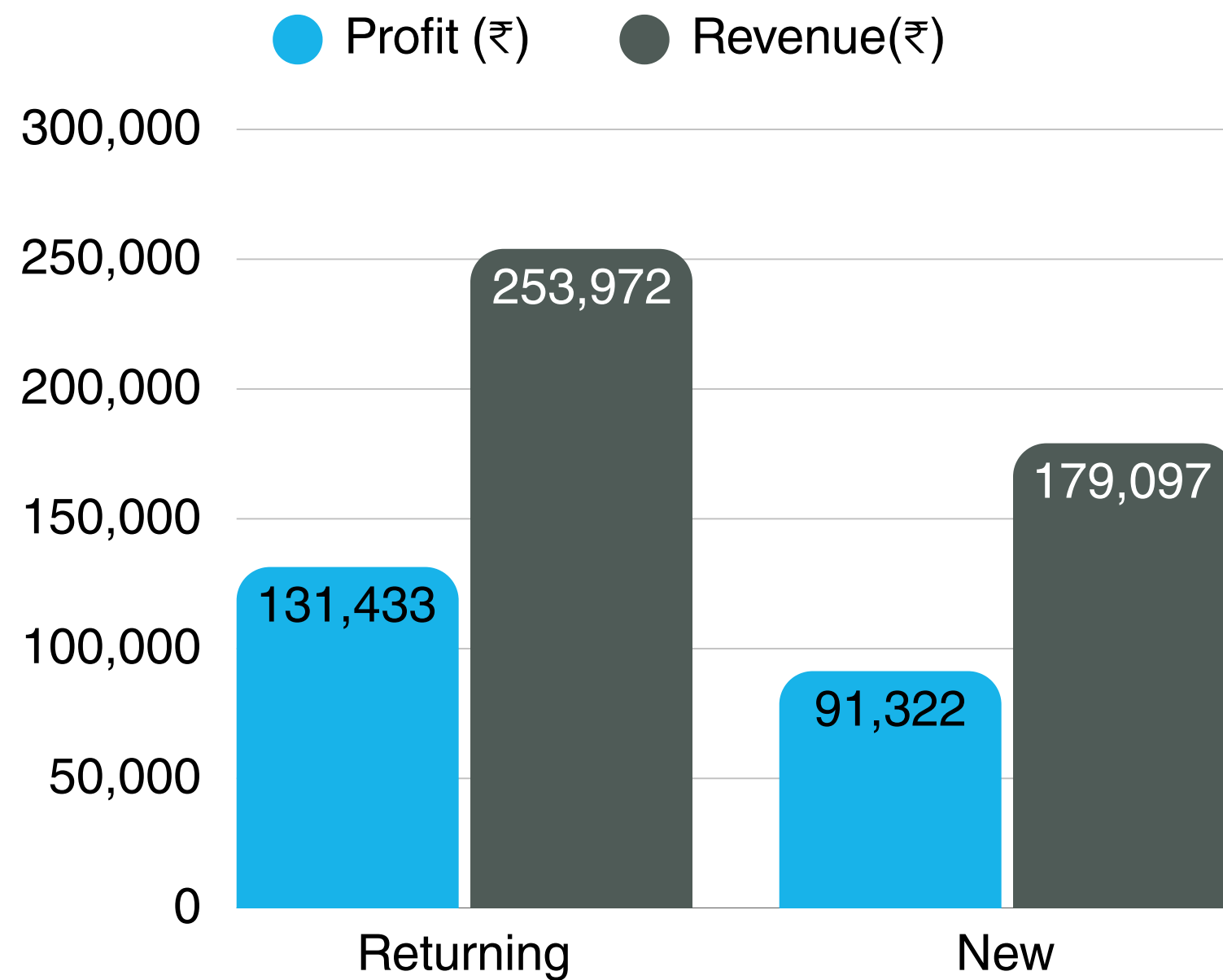
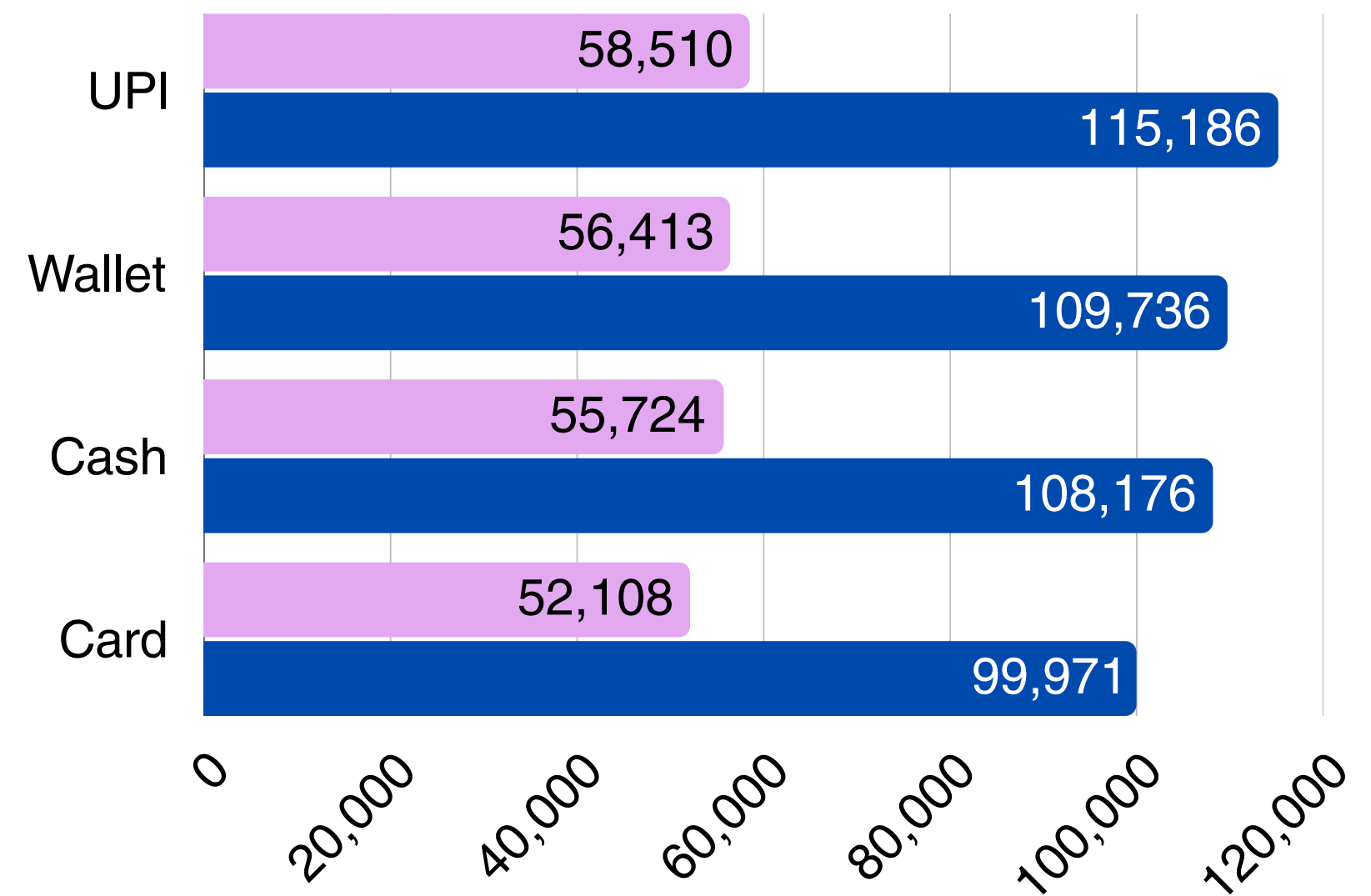


Customer Behaviour Analysis

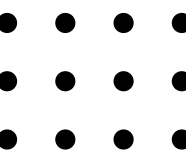


• UPI Dominance

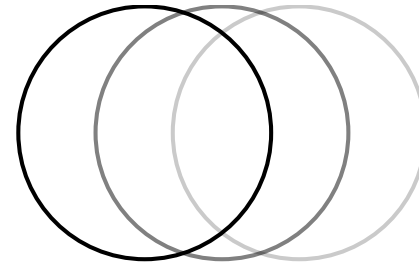
● Profit (₹) ● Revenue(₹)



Returning customers generate 58% revenue — the most valuable segment by a wide margin.



Discount Impact Analysis



Structural Discount Risks

Volume Effect, Margin Cost

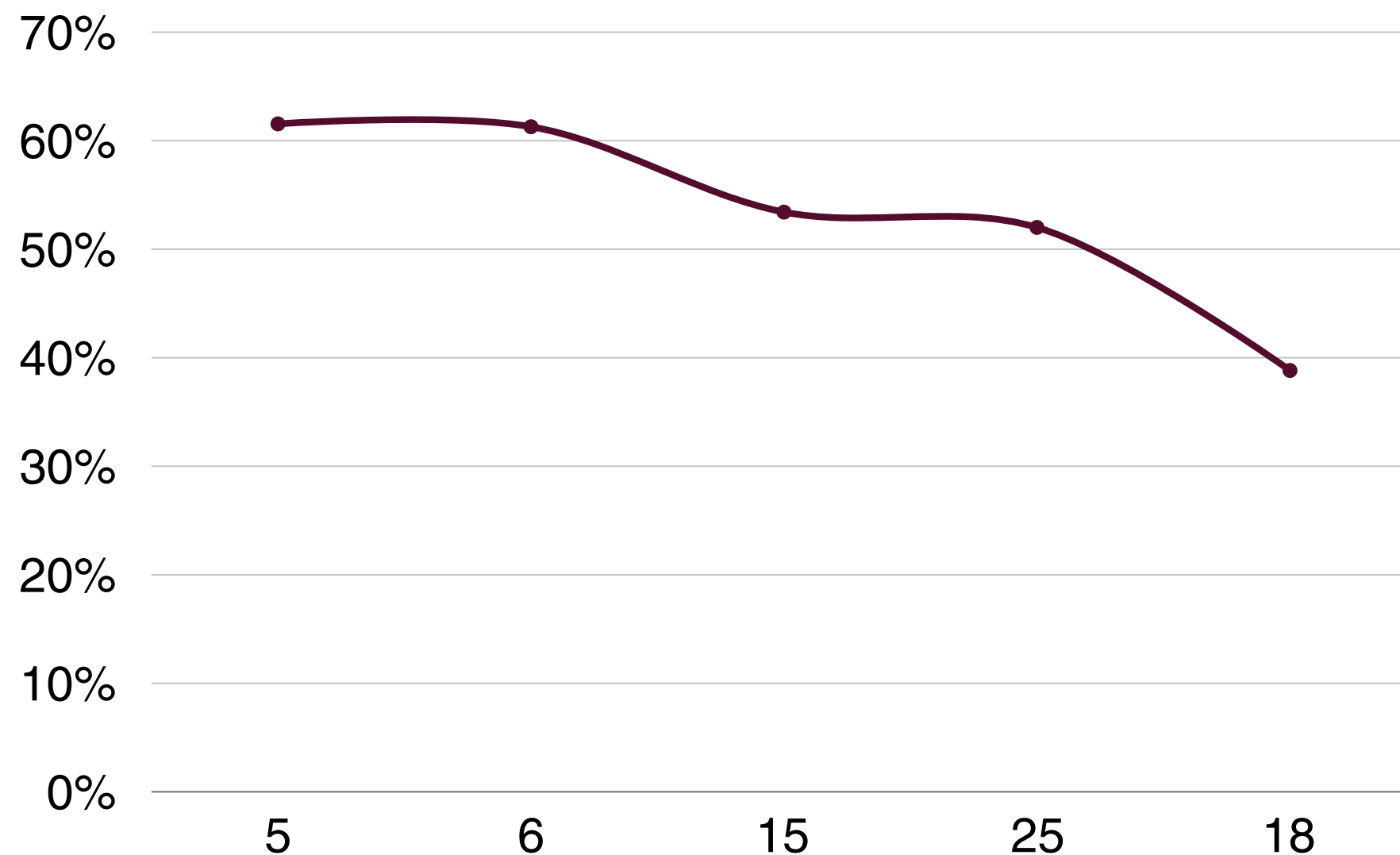
Higher discounts demonstrably increase order volume — but at the cost of disproportionate

Margherita Pizza Case Study

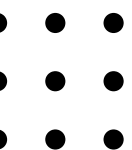
Aggressive discounting has inflated revenue rank while collapsing profit margin to near-zero levels

Price Anchoring Risk

Products trained on heavy discounts create anchoring effects

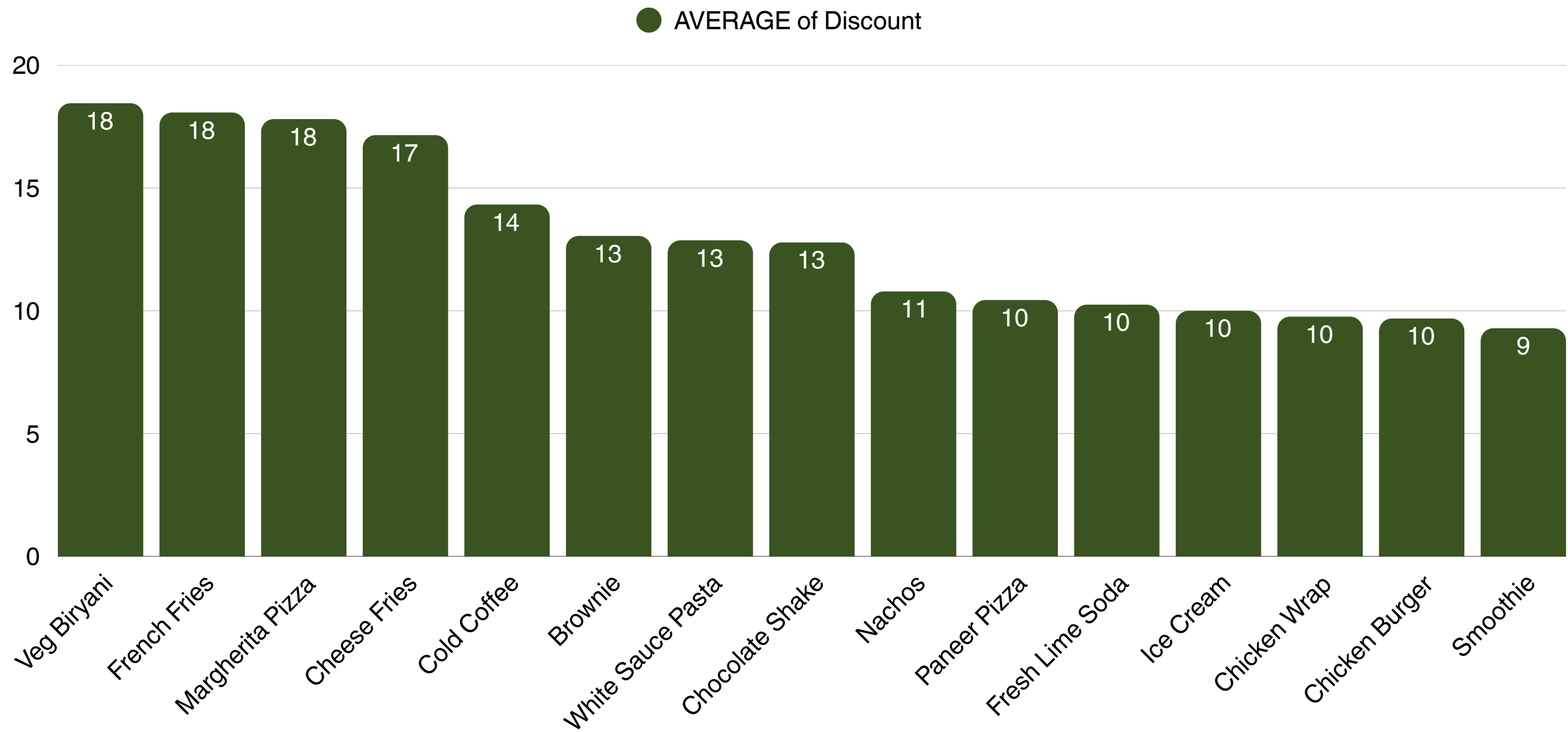


As discount percentage increases, profit margin declines sharply. Products with discounts above 18–20% consistently generate lower profitability despite maintaining sales volume.

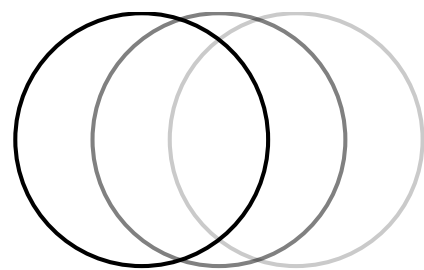


Discount Impact Analysis

Margherita Pizza and Veg Biryani rely on aggressive discounting to drive sales, reducing profit margins to nearly half of premium products.

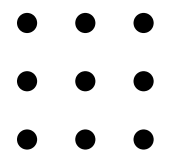
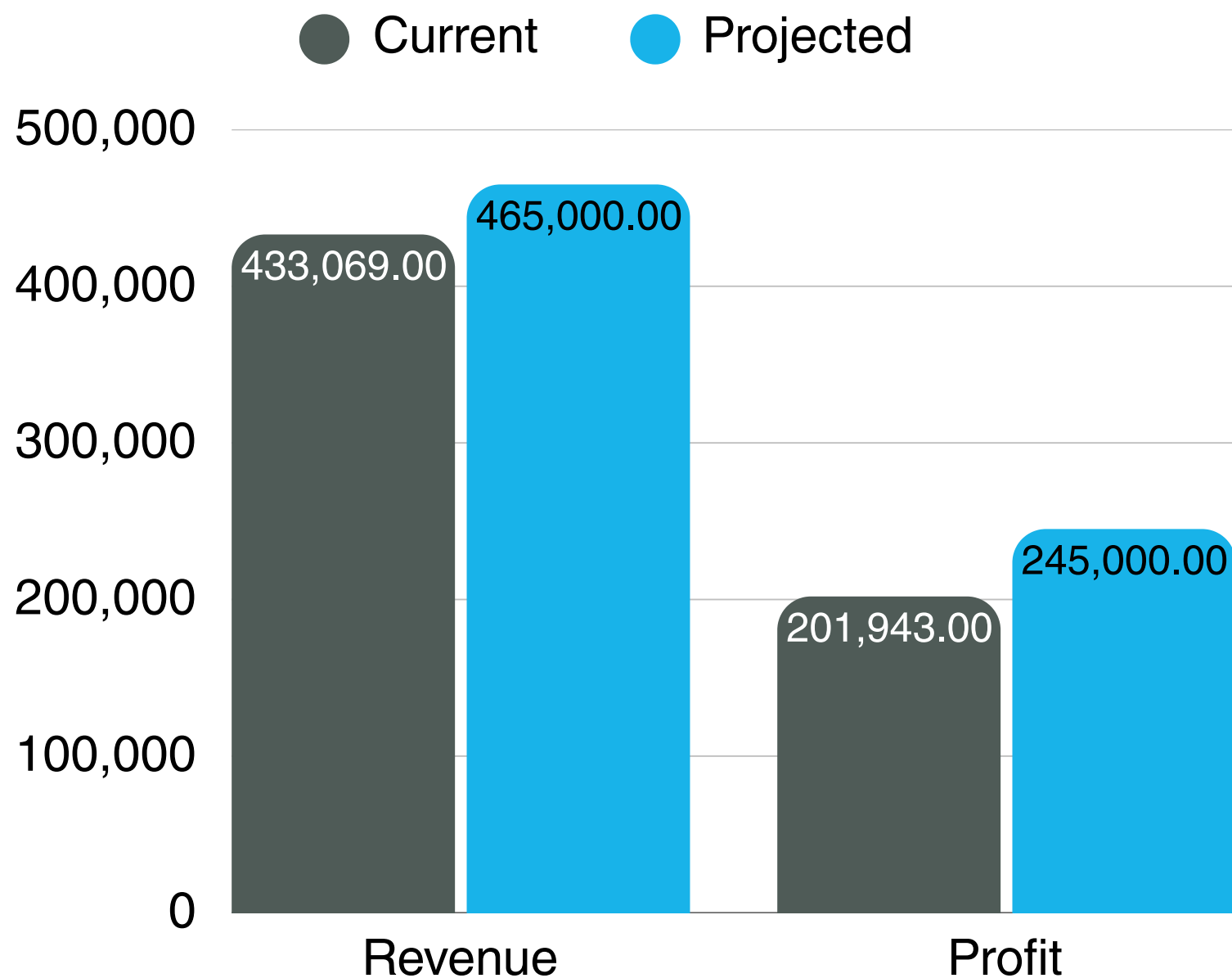


Recommendations & Future Forecast

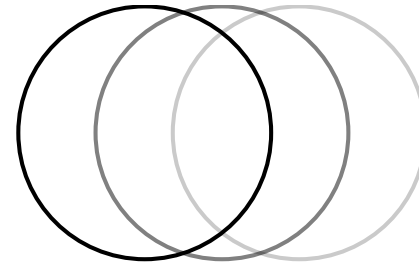


- 1. Price Increase on Anchor Products**
Increase prices by 5–8% on Paneer Pizza and White Sauce Pasta — high-demand products with price-inelastic customer bases that can absorb the adjustment.
- 2. Price Increase on Anchor Products**
Reduce discounts on low-margin products. Enforce category-specific discount caps at a maximum of 15% — the analytically validated profitability threshold.
- 3. Targeted Discount Campaigns**
Replace uniform discount campaigns with segment-specific, targeted offers — prioritising returning customer rewards over broad new-customer acquisition discounts.

Projected Impact — Next 2 Quarters



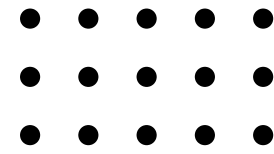
Portfolio & Marketing Actions



- Bundle beverages and desserts with premium meals to lift average order value without margin sacrifice
- Promote Hidden Gem products (Chicken Wrap, Veg Biryani, French Fries) more aggressively to scale at healthy margins
- Launch loyalty reward programme targeting returning customers as primary beneficiaries
- Monitor monthly profitability KPIs — not revenue alone — as the primary management dashboard

Strategic Insights from the Analysis

1. Revenue $\neq$ Profitability
2. Pricing Correction Over Promotion
3. Returning Customer Priority
4. Premium Product Underexposure
5. Bundle Economics



Thank You So Much!

